WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

ERITREA

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Asmara	Capital and seat of government; home to the Office of the President, which houses the Investment Center, and to the state mining company ENAMCO	Administration, mining services, construction
Central highlands (Asmara polymetallic project)	Copper, zinc, gold and silver project near the capital, majority-owned by Sichuan Road and Bridge Mining with ENAMCO; first concentrate produced in April 2026	Copper, zinc, precious metals
Bisha (Gash-Barka, west)	Eritrea's largest operating mine (Zijin 55%, ENAMCO 45%), producing around 23,000 tonnes of copper and 83,000 tonnes of zinc in 2025	Copper, zinc, mining services
Kerkasha / Aburna (south-west)	514 km² exploration licence where Canadian-listed Alpha Exploration began a 6,500-metre gold drilling programme in July 2026	Gold and copper exploration
Colluli (Danakil Depression)	One of the world's largest potash deposits, held 50:50 by Sichuan Road and Bridge and ENAMCO, with a resource life estimated at around 200 years	Potash, fertiliser, logistics
Massawa	Principal Red Sea port and site of a designated Free Trade Zone that is not yet operational	Port logistics, trade, future free-zone activity
Assab (south)	Port near the southern entrance of the Red Sea, close to a major Europe–Asia shipping lane; commercial activity has been limited since 1993	Port and logistics (long-term, subject to regional normalisation)

INVESTOR ENTRY ROUTES

- Investment Center, under the Office of the President: in practice, significant foreign investment is agreed through direct negotiation with the government rather than under the 1994 Investment Proclamation (No. 59/1994)
- Mining licences under Eritrea's mining legislation and 2011 regulations, with the state's ENAMCO taking a 10% free stake and an option to buy a further 30%; joint ventures with ENAMCO are the established entry model

- Mining is the sector the government actively encourages; most other sectors are effectively closed to foreign investment, and foreigners cannot generally own real property
- Currency regime: the nakfa is non-convertible and fixed at 15 per US dollar, and all transfers in and out require central-bank approval, so repatriation and hard-currency terms should be secured in the negotiated agreement
- Bilateral investment treaty with Italy in force; treaties with the Netherlands, Qatar and Uganda signed but not yet in force
- Free Trade Zones designated at Massawa and on the Sudan border, offering a framework for future logistics and trade investment once operational
- US sanctions designations of the ruling PFDJ, the Eritrean Defense Forces and affiliated companies were removed in September 2026, widening the scope for lawful engagement subject to standard screening

MARKET-ENTRY OBSERVATION

Eritrea in October 2026 offers a small, mining-led economy with notable external strengths and a growing pipeline of mineral projects. The African Development Bank estimates real GDP growth of 3.2% in 2025, with 2.8% projected for 2026 and 3.2% for 2027, driven by mining and services, while inflation eased from 7.5% in 2024 to 5.3% in 2025. The current account surplus reached an estimated 13.2% of GDP in 2025, and concessional borrowing keeps debt service low. Mining is expanding: the Bisha mine produced around 23,000 tonnes of copper and 83,000 tonnes of zinc in 2025, the Asmara polymetallic project delivered its first concentrate in April 2026, and national copper output is forecast at about 30,000 tonnes in 2026. Western explorers are also returning, with Alpha Exploration drilling at Kerkasha since July 2026, and the removal of US sanctions designations on the ruling party, the military and affiliated companies in September 2026 has widened the scope for lawful engagement.

Eritrea's main structural challenge is the combination of a closed, state-directed economic model and a tense regional environment. Investment terms are negotiated directly with the state, the nakfa is non-convertible, and the banking system has no correspondent relationships with foreign banks. Relations with Ethiopia worsened in 2026, and diplomatic ties were cut on 1 October amid renewed fighting in northern Ethiopia, although Eritrea denies involvement. Investors can mitigate these risks by structuring through ENAMCO joint ventures, securing currency and repatriation terms upfront, using offshore financing and putting robust security planning in place. The established Bisha, Zara and Asmara operations show that large mining projects can be built and run under this model. Eritrea's 1,200 km Red Sea coastline, its world-class potash at Colluli and its ports at Massawa and Assab give long-term investors significant upside from any future regional normalisation.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Regional security and Ethiopia relations	Ethiopia and Eritrea cut diplomatic ties on 1 October 2026 amid renewed fighting in northern Ethiopia; Ethiopian officials allege Eritrean troop involvement, which Asmara denies	Use professional security advice, phase commitments and seek political-risk cover where available
Sanctions and compliance screening	US designations under the 2021 Ethiopia-related order lapsed in September 2026, but listings under other authorities remain, and the EU listed the National Security Office in 2021	Engage sanctions counsel and screen all state, party-linked and military-linked counterparties against current US, EU and UK lists before contracting
Labour and national service	Indefinite national service and forced-labour concerns are widely reported, and the US rates Eritrea Tier 3 for trafficking in persons	Carry out human-rights due diligence, employ staff directly and audit contractors so that no conscripted labour enters the project or supply chain
Currency convertibility and repatriation	The nakfa is non-convertible at a fixed 15 per US dollar, and all cross-border transfers require central-bank approval	Negotiate hard-currency, export-proceeds and dividend terms in the investment or mining agreement; large negotiated projects have more flexibility
State-directed economy and legal framework	Most sectors are effectively closed to foreign investment, the 1994 investment law is suspended in practice and there are	Partner with ENAMCO, include international arbitration in agreements, and use the Italy BIT where structuring allows

Issue	Potential Impact	Possible Mitigation
	no independent business associations	
Banking and finance	Foreign banks cannot operate, and there are no correspondent banking relationships or card infrastructure	Arrange project finance and treasury offshore; reported Chinese export-credit financing for Colluli illustrates how large projects are being funded
Power and fuel supply	Energy shortages are the main constraint on mining, and a fuel shortage brought forward maintenance at Bisha in October 2026	Build self-generation and fuel storage into project design, an opening for off-grid and solar power suppliers

INVESTOR RISK NOTE

Eritrea's risk profile is that of a frontier, state-directed economy with genuine mineral wealth, low external debt service and a strong current account surplus. Investors should be clear-eyed about its realities. Regional tensions escalated in October 2026 with the break in diplomatic relations with Ethiopia. The currency is non-convertible, and the investment framework rests on direct negotiation with the state. Labour practices linked to national service also require careful human-rights due diligence. The September 2026 removal of US designations on the ruling party, the military and affiliated companies is a meaningful step, but it is not a blanket lifting of restrictions: other listings remain, so every counterparty should be screened with sanctions counsel. Within these parameters, mining has proved workable. Bisha is in full production, Zara has produced gold since 2016 and the Asmara project reached first concentrate in 2026. Investors who negotiate clear fiscal, currency and dispute-resolution terms upfront, and who plan for security and energy needs, can position themselves early in one of the Red Sea's least-explored mineral provinces.

MARKET ACCESS

Eritrea is a founding member of COMESA, giving a framework for preferential trade within Eastern and Southern Africa. It has no affiliation with the WTO, and it withdrew from IGAD in December 2025. It signed a Belt and Road Initiative memorandum with China in 2021, and Chinese companies hold majority stakes in the main operating and development mines. Mineral concentrates (copper, zinc and gold) are the principal exports. With around 1,200 km of Red Sea coastline and ports at Massawa and Assab close to one of the world's busiest shipping lanes linking Europe, the Middle East and Asia, Eritrea holds a strategic position. That position would offer substantial logistics and transit upside under a future regional settlement.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Isaias Afwerki)	Central decision-maker on all significant investment; the Investment Center sits within this office	Ultimate reference point for negotiating project terms and understanding strategic priorities
Investment Center	Official investment body established in 1998 under the Office of the President	Formal entry point for investment proposals, alongside direct government engagement
Eritrean National Mining Corporation (ENAMCO)	State mining company holding equity in every major mine, including Bisha, Zara, Asmara and Colluli	Essential joint-venture partner for any mining-sector entry
Ministry of Energy and Mines	Issues exploration and mining licences and oversees the mining and energy sectors	Key counterpart for licensing, regulatory terms and power-supply planning
Bank of Eritrea (central bank)	Sets the fixed nakfa rate and must approve all fund transfers into and out of the country	Critical for agreeing currency conversion and repatriation arrangements
Major mining operators (Zijin Mining, Sichuan Road and Bridge Mining)	Majority owners of Bisha, the Asmara project and Colluli, with the deepest operating experience in the country	Source of practical intelligence and potential partners for services, supply and offtake

Actor	Why It Matters	Waverley Engagement Angle
Ministry of Foreign Affairs	Manages Eritrea's regional diplomacy, including relations with Ethiopia, Egypt, the Gulf and Western partners	Relevant for understanding regional positioning and the outlook for normalisation

CURRENT INTERNATIONAL BUSINESS CHANNELS

Eritrea has no independent chambers of commerce or business associations. The state-linked National Confederation of Eritrean Workers is the only legal union, so engagement runs mainly through government channels: the Investment Center, the Ministry of Energy and Mines and ENAMCO. Foreign embassies in Asmara and the established mining operators, including Zijin and Sichuan Road and Bridge Mining, are valuable sources of practical intelligence. The African Development Bank maintains an active country programme. The US Development Finance Corporation is authorised to operate in Eritrea but is not currently active there, a channel that may become more relevant after the 2026 sanctions changes. International mining conferences and Canadian-listed explorers active in the country offer further networking routes.

INVESTOR PROFILE BEST SUITED

Eritrea best suits experienced, risk-tolerant investors with long horizons and strong compliance capability. These include mining companies and junior explorers seeking underexplored gold, copper, zinc and potash ground, and strategic investors in critical minerals and fertilisers. Mining-services, equipment and off-grid power providers can supply the existing operations. Logistics and port investors may also position early for any future Red Sea normalisation. The market is less suited to consumer, retail or financial-services investors, given restrictions on most non-mining sectors, the non-convertible currency and the absence of foreign banking.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Commission sanctions and human-rights due diligence
Engage sanctions counsel to screen state, party and military-linked counterparties after the September 2026 US delistings, and set labour and supply-chain safeguards from the outset.

STEP 2: Open dialogue with ENAMCO and the Ministry of Energy and Mines
Explore available licence areas and joint-venture terms, building on the established ENAMCO partnership model used at Bisha, Zara, Asmara and Colluli.

STEP 3: Negotiate currency, repatriation and dispute-resolution terms upfront
Secure hard-currency, export-proceeds, dividend and international arbitration provisions in the investment or mining agreement before committing capital.

STEP 4: Plan for security, power and logistics
Build professional security advice, self-generation, fuel storage and port logistics via Massawa into project design and budgets.

STEP 5: Track regional diplomacy and the Red Sea outlook
Monitor Ethiopia–Eritrea relations and African Union mediation, phasing commitments to benefit from any normalisation that would unlock port and transit opportunities.